CHAPTER ONE

INTRODUCTION

1.1 The present Report on Annual Survey of Industries (ASI) for the year 2009-10 is the thirty-seventh in the series of such reports brought out by this Directorate. It incorporates data in respect of industrial statistics collected through the Annual Survey of Industries in the organized factory sector in this State by the National Sample Survey Organization (NSSO), Government of India, under the statutory provisions of the collection of Statistics Act, 1953 and the rules framed there under in 1959.

1.2 The Director General, Field Operations Division (FOD), N.S.S.O., Government of India is declared as the Statistics Authority in terms of the aforesaid Act, while the Director of Planning, Statistics and Evaluation (DPSE), Government of Goa, has been appointed as the Officer on Special Duty for Goa State by the Government of India to ensure proper supervision and control over the coverage of factories located in this State.

1.3 **Scope and coverage:** The A.S.I. covers the factories registered under The Factories Act, 1948 on sample basis from the year 1999-2000 (accounting year of A.S.I. 1998-99), shifting from the existing pattern of selection of factories of complete enumeration or census in the State. The coverage includes manufacturing factories as also those service industries and activities like cold storage, water supply, repair of motor vehicles and other consumer durables such as watch, etc. As against 519 factories covered under Annual Survey of Industries during 2008-09, the numbers of factories covered during 2009-10 were 520.

1.4 **Classification of Industries**: The NIC-1970 was followed to classify economic activities of the factories from ASI 1973-74 to ASI 1988-89. NIC- 1987 had then been introduced and followed till ASI 1997-98. NIC -1998 was then followed from ASI 1998-99 to ASI 2003-04. From ASI 2004-05, the new series of classification i.e. NIC -2004 has been introduced and the same has been used till ASI 2007-08. For ASI 2008-09 onwards, NIC-2008 has been introduced and used. It classifies all the factories in the ASI frame in their appropriate industry groups on the basis of the principal product manufactured. This way a unit gets classified in one and only one industry group even though it might be manufacturing products belonging to different industries. The estimates for different aggregates presented in this report at two or three or four digit level of industry correspond to the NIC-2008 classification. Details of this classification have been shown in Annexure- 8.

CHAPTER TWO

CONCEPTS AND DEFINITIONS

Important concepts and definitions used in ASI are explained below.

2.1 A number of accounting, economic and other terms related to the factories are used in conduct of Annual Survey of Industries. For proper assessment and interpretation of ASI data, those are given below.

2.2 Accounting Year : For the purpose of ASI, the accounting year is the period on which the factory closes its books of account. With the enactment of Income Tax Act, by and large, the accounting year of all factories is from April to March.

2.3 Reference Period: It is corresponds to the financial year. For example, for ASI 2009-2010 the reference period is the financial year commencing from 1st April 2009 and ending on 31st March 2010 or the accounting year of the factory ending on any date between 01.04.2009 to 31.03.2010.

2.4 Survey Period: Survey period is a period during which work of any Annual Survey of Industries is undertaken. Since ASI 1978-79 the survey period has been fixed from 1st July to 30th June of the next year. From ASI 1998-99 the survey period has been changed from 12 months to 4 months i.e. from Nov'99 to Feb'2000. The survey period for ASI 99-00 has been again changed from October to March. The survey period for ASI 2009-2010 is from Sept. 2010 to April, 2011.

2.5 Factory (as per the Factory Act 1948): Factory is one, which is registered under Sections 2m(i) and 2m(ii) of the Factories Act, 1948. The Sections 2m(i) and 2m(ii) refer to any premises including the precinct thereof (i) wherein ten or more workers are working, or were working on any day of the preceding twelve months, and in any part of which a manufacturing process is being carried on with the aid of power, or is ordinarily so carried on, or (ii) wherein twenty or more workers are working, or were working on any day of the preceding twelve months and in any part of which a manufacturing process is being carried on without the aid of power, or is ordinarily so carried on. Closed factories with fixed assets on site are also considered as registered factories till they are de-registered and removed from the live-register maintained by the Chief Inspector of Factories (CIF) in the State.

2.6 Manufacturing Process: This is as per Section 2(k) of the Factories Act, 1948, and briefly mentioned in Section

2.7 Gross Value of Plant and Machinery: Gross value of plant and machinery represents the total original (un-depreciated) value of installed plant and machinery as at the end of the accounting year. It includes the book value of own constructed plant and machinery, if installed, and the approximate value of rented-in plant and machinery as at the time of renting in but excludes the value of rented-out plant and machinery. Total value of all the plant and machinery acquired on hire-purchase basis is also included. Thus it represents the gross value of plant and machinery engaged in production process.

2.8 Fixed Capital: Fixed Capital represents the depreciated value of fixed assets owned by the factory as on the closing day of the accounting year. Fixed assets are those, which have normal productive life of more than one year. Fixed capital covers all type of assets, new or used or own constructed, deployed for productions, transportation, living or recreational facilities, hospitals, schools, etc. for factory personnel. It would include land, building, plant and machinery, transport equipment etc. It includes the fixed assets of the head office allocable to the factory and also the full value of assets taken on hire-purchase basis (Whether fully paid or not) excluding interest element. It excludes intangible assets and assets solely used for post manufacturing activities such as, sale, storage, distribution, etc.

2.9 Depreciation: Depreciation is consumption of fixed capital by the factory due to wear and tear and obsolescence during the accounting year and is taken as provided by the factory owner, or if not provided by the factory this is estimated on the basis of cost of installation and working life of the fixed assets.

2.10 Finished Goods: Finished Goods are those, which are manufactured by the factory for sale. Finished goods should conform to a prescribed standard.

2.11 Physical Working Capital: This is defined to include all physical inventories owned, held or controlled by the factory as on the closing day of the accounting year such as the materials, fuels and lubricants, stores, etc. that enter into products manufactured by the factory itself or supplied by the factory to others for processing. Physical working capital also includes the value of stock of materials, fuels and stores etc. purchased expressly for re-sale, semi-finished goods and goods-in-process on account of others and goods made by the factory which are ready for sale at the end of the accounting year. However, it does not include the stock of the materials, fuels, stores, etc. supplied by others to the factory for processing. Finished goods processed by others from raw materials supplied by the factory and held by them are included and finished goods processed by the factory from raw materials supplied by others, are excluded.

2.12 Working Capital: Working Capital is the sum total of the physical working capital as already defined above and the cash deposits in hand and at bank, land, the net balance of amounts receivable over amounts payable at the end of the accounting year. Amounts receivable include value of credit items on revenue account, such as sums due to the factory for goods sold, amounts advanced in connection with normal factory work, bills of exchange payable to the factory, payments made in advance such as for fire insurance, telephone charges, rates and taxes, call deposits and security deposits having a normal life of less than one year, etc. It excludes unused overdraft facility, fixed deposits irrespective of duration, advances for acquisition of fixed assets, long-term loans including interest thereon and investment.

2.13 Invested Capital: Invested capital is the total of fixed capital and physical working capital.

2.14 Productive Capital: This is the total of fixed capital and working capital.

2.15 Outstanding Loans: Outstanding loans represent all loans, whether short-term or long-term, whether interest bearing or not, outstanding according to the books of the factory as on the closing day of accounting year.

2.16. Contract Worker: All persons who are not employed directly by an employer but through the third agency, i.e. contractor, are termed as contract workers. Those workers may be employed with or without the knowledge of the principal employer.

2.17 Employees: Employees relate to all persons engaged by the factory whether for wages or not, in work connected directly or indirectly with the manufacturing process and include all administrative, technical and clerical staff as also labour in production of capital assets for factory's own use. This is inclusive of persons holding position of supervision or management or engaged in administrative office, store-keeping section and welfare section, watch and ward staff, sales department as also those engaged in the purchase of raw materials etc. and production of fixed assets for the factory. It also includes all working proprietors and their family members who are actively engaged in the work of the factory even without any pay and the unpaid members of the co-operative societies who work in or for the factory in any direct and productive capacity. Persons in the head office connected with the manufacturing activity of the factory are also included in this item.

2.18 Labour Turnover: Labour turnover measures the extent of change in the working force due to accession and separation during a given period. The term 'accession' was defined as the total number of workers added to employment during the period, whether new or reemployed or transferred from other establishments or units under the same management. Interdepartmental transfers within the same establishment are, however ignored. The term 'separation' implies termination of employment at the instance of worker or employers. It includes termination of services due to death or retirement. As in the case of accession, transfers to other establishments are included but transfers within the same establishment are ignored. Retrenchment as a result of rationalisation or modernisation or any other cause, is also treated as separation.

2.19 Wages: Wages are defined to include all remuneration capable of being expressed in monetary terms and also payable/paid more or less regularly in each pay period to workers (defined above) as compensation for work done during the accounting year. It includes:

(i) Direct wages and salary (i.e. basic wages/salaries, payment of overtime, dearness, compensatory, house rent and other allowances);

(ii) Remuneration for period not worked (i.e. basic wages), salaries and allowances payable for leave period, paid holidays, lay-off payments and compensation for unemployment (if not paid from source other than employers);

(iii) Bonus and ex-gratia payment paid both at regular and less frequent intervals (i.e., incentive bonuses and good attendance bonuses, production bonuses, profit sharing bonuses, festival or yearend bonuses etc.). It excludes layoff payments and compensation for employment except where such payments are for this purpose, i.e., payments not made by the employer. It excludes employer's contribution to old age benefits and other social security charges, direct expenditure on maternity benefits and creches and other group

benefit in kind and travelling and other expenditure incurred for business purposes and reimbursed by the employer. The wages are expressed in terms of gross value, i.e., before deductions for fines, damages, taxes, provident fund, employee's state insurance contribution etc. Benefits in kind (perquisites) of individual nature are only included.

2.20 Bonus: Profit sharing bonus, festival bonus, year-end bonus, and all other bonuses and ex-gratia payments paid at less frequent intervals are covered by this term.

2.21 Workmen and Staff Welfare Expenses: These include expenditure incurred by the employer on the maternity benefits and crèches and other benefits such as supply of food, beverages, tobacco, clothing and group lodging at confessional rates and educational, cultural and recreational facilities and services and grants to trade unions and cooperative stores meant for employees. All group benefits are included.

2.22 Emoluments: These are defined in the same way as wages but paid to all employees plus imputed value of benefits in kind i.e. the net cost to the employers on those goods and services provided to employees free of charge or at markedly reduced cost which are clearly and primarily of benefit to the employees as consumers. It includes profit sharing, festival and other bonuses and ex-gratia payments paid at less frequent intervals (i.e. other than bonus paid more or less regularly for each period). Benefits in kind include supplies or services rendered such as housing, medical, education and recreation facilities. Personal insurance, income tax, house rent allowance, conveyance etc. for payment by the factory also is included in the emoluments.

2.23 Supplements to Emoluments: These include: (i) employer's contribution to old age benefits, i.e., provident fund, pension, gratuity, etc.; (ii) employer's contribution towards other social security charges such as Employees' State Insurance, compensation for work injuries, occupational diseases, maternity benefits, retrenchment and lay-off benefits etc.; and (iii) group benefits like direct expenditure on maternity, creches, canteen facilities, educational, cultural and recreational facilities and grant to trade unions, co-operative stores etc. meant for employees.

2.24 Compensation of Employees: Compensation of employees is the total of emoluments and supplement to emoluments.

2.25 Mandays Worked: These are obtained by summing up the number of mandays worked by persons working in each shift over all the shifts on all days, i.e. both manufacturing and non-manufacturing days. This figure excludes persons who are paid but remain on leave, strike, etc.

2.26 Mandays Paid For: The number of mandays paid for is arrived at by summing up the number of employees paid for in each shift. This also includes mandays on weekly schedule holidays if paid for and those absences with pay as also mandays lost through lay off/ strike for which compensation was payable.

2.27 Working Day: Working day means the days on which a manufacturing process and/ or repair or maintenance work was carried on.

2.28 Non-working Day: Apart from manufacturing day and repair and maintenance days there may be some non-working days. Non working days are those days on which the workers give their attendance but due to non-availability of raw materials power etc. no effective work is done. As the workers are paid for these days such days are also taken into account for the purpose of labour statistics.

2.29 Basic Materials: Basic materials are the materials which are important and of key nature to the industry on which the manufacturing process is based, viz. metal for machine, leather for shoe. Such material is not lost through the process of production but only changes its forms.

2.30 Consumable Stores: All such materials which assist the manufacturing process and loose their identity without entering the products are called consumable stores, e.g., cotton waste.

2.31 Fuel Consumed: Fuel Consumed represent total purchase value of all items of fuels, lubricants, electricity, water (purchased to make steam) etc. consumed by the factory during the accounting year except those which directly enter into products as materials consumed. It excludes that part of fuels, which is produced and consumed by the factory in manufacture i.e., all intermediate products and also fuels consumed by employees as part of amenities. It includes quantities acquired and consumed from allied concerns, their book value being taken as their purchase value and also the quantities consumed in production of machinery or other capital items for factory's own use.

2.32 Materials Consumed: Materials consumed represent the total delivered value of all items of raw materials, components, chemicals, packing materials and stores which actually entered into the production process of the factory during the accounting year. It also includes the cost of all the materials used in the production of fixed assets, including construction work for factory's own use. Components and accessories fitted as purchased with the finished product during the accounting year are also to be included. It excludes intermediate products. Intermediate products in the above context mean all those products which are produced by the factory and consumed for further manufacturing process.

2.33 Total Input: This comprises gross value of fuel materials etc. consumed (as defined above) and also other inputs viz. (a) cost of non-industrial services received from others (b) cost of materials consumed for repair and maintenance of factory's fixed assets including cost of work done by others to the factory's fixed assets (c) cost of contract and commission work done by others on materials supplied by the factory (d) cost of office supplies and products reported for sale during last year & used for further manufacture during the accounting year.

2.34 Intermediate Product: Intermediate Product is a product which is obtained during a manufacturing process, which may or may not be saleable and is not the intended final product.

2.35 Net Value of Semi-Finished Goods: It represents the excess/deficit of value of semi-finished goods and/or goods-in-process at the end of the accounting year over that at the beginning of year.

2.36 Products: These are defined to include the ex-factory value (i.e. exclusive of taxes, duties etc. on sale and inclusive of subsidies etc., if any) of all products and by-products, excluding intermediate products, that have been completed during the accounting year for sale whether actually sold during the accounting year or entered into books. Also include fixed assets produced by the factory for its own use.

2.37 Gross Output: Gross output is defined to include the ex-factory value, (i.e., exclusive of taxes, duties, etc. on sale and inclusive of subsidies etc., if any) of products and by-products manufactured during the accounting year, and the net value of the semi-finished goods, work-in-process, (represents the excess/deficit of value of semi-finished goods or work-in-process at the end of the accounting year over that of the beginning of the year plus net balance of semi-finished fixed assets on factory's capital account) and also the receipts for industrial and non-industrial services rendered to others, value of semi-finished goods of last year sold in the current year, sale value of goods sold in the same condition as purchased and value of electricity generated and sold. Value of gross output and total output has been used in the text interchangeable to mean the same thing.

2.38 Industrial Services: Any services taken or rendered from one to another unit resulting in increase in the value of material during the manufacturing process are industrial services.

2.39 Non-Industrial Services: All such services which do not have a direct bearing on the manufacturing process but are needed by any manufacturing unit are called non-industrial services, say, transport.

2.40 Net Value Added: This is the increment to the value of goods and services that is contributed by the factory and is obtained by deducting the value of total inputs and depreciation from gross value of output.

CHAPTER – THREE

PRINCIPAL CHARACTERISTICS BY MAJOR INDUSTRIAL ACTIVITY

3.1 **Principal Aggregates** :The distribution of principal characteristics by major economic activity in absolute and percentage terms by the manufacturing and others sector of industrial activity in Goa covered by the Annual Survey of Industries (ASI) 2009-10 compared with 2008-09 are given below :

TABLE NO. 3.1

PRINCIPAL CHARACTERISTICS BY MAJOR ECONOMIC ACTIVITY

Principal Characteristics	Unit	Manufacturing		Others		All	
		2008-09	2009-10	2008-09	2009-10	2008-09	2009-10
1	2	3	4	5	6	7	8
Factories	Number	497	498	22	22	519	520
	(%)	(96)	(96)	(4)	(4)	(100)	(100)
Fixed Capital	Rs. in crore	4966	6295	299	269	5265	6564
	(%)	(94)	(96)	(6)	(4)	(100)	(100)
Invested Capital	Rs. in crore	9179	12934	314	278	9493	13212
	(%)	(97)	(98)	(3)	(2)	(100)	(100)
Workers	Number	39451	37871	1094	1020	40545	38891
	(%)	(97)	(97)	(3)	(3)	(100)	(100)
Total persons engaged	Number	51737	50397	1370	1300	53107	51697
	(%)	(97)	(97)	(3)	(3)	(100)	(100)
Wages to workers	Rs. in crore	358	485	7	8	365	493
	(%)	(98)	(98)	(2)	(2)	(100)	(100)
Total Emoluments	Rs. in crore	899	1068	14	15	913	1083
	(%)	(98)	(99)	(2)	(1)	(100)	(100)
Input	Rs. in crore	21670	22884	428	341	22098	23225
	(%)	(98)	(99)	(2)	(1)	(100)	(100)
Gross Output	Rs. in crore	27014	28994	512	441	27526	29435
	(%)	(98)	(99)	(2)	(1)	(100)	(100)
Depreciation	Rs. in crore	507	550	19	19	526	569
	(%)	(96)	(97)	(4)	(3)	(100)	(100)
Net Value Added	Rs. in crore	4837	5560	65	80	4902	5640
	(%)	(99)	(99)	(1)	(1)	(100)	(100)
Net Income	Rs. in crore	4388	5129	55	68	4443	5197
	(%)	(99)	(99)	(1)	(1)	(100)	(100)

Figures in bracket indicate percentages.

3.2 The number of factory units covered under the Annual Survey of Industries during 2008-09 and 2009-10 were 519 and 520 units respectively. It may be observed from Table 3.1 that 497 factory units were engaged in the manufacturing activities in the year 2008-09, whereas the number of factory units during 2009-10 increased to 498. However, the units covered under “other “industrial activities remained constant at 22 each during the year 2008-09 and 2009-10.

3.3 It may be observed that the share of Manufacturing Sector in the total fixed capital has increased from 94% in 2008-09 to 96% in 2009-10, i.e. (Rs.4966 crores) in the year 2008-09 and (Rs.6295 crores) during the year 2009-10. The percentage of fixed capital accounted for by the factories covered under the others group of industries was 6% in 2008-09 and 4% in 2009-10. The number of workers employed in the manufacturing has remained at 97% each during the years 2008-09 and 2009-10 and were paid wages (Rs.358 crores) during 2008-09 and (Rs.485 crores) during 2009-10 i.e. 98% each during 2008-09 and 2009-10 respectively. The Gross output produced under manufacturing sector was valued at Rs.27014 crores & Rs.28994 crores or 98% in 2008-09 and 99% in 2009-10. The contribution of Net Value Added by manufacturing was Rs.4837 crores and Rs.5560 crores (both 99%) during the year 2008-09 and 2009-10 respectively.

The percentage growth during 2009-10 over 2008-09 in respect of important characteristics is exhibited in table 3.2 below.

TABLE NO. 3.2

PERCENTAGE GROWTH DURING 2009-10 OVER 2008-09 IN PRINCIPAL CHARACTERISTICS BY MAJOR ECONOMIC ACTIVITY

Principal Characteristics	Manufacturing	Others	All Industries
1	2	3	4
Factories	0.2	0	0.2
Fixed Capital	26.8	-10.0	24.7
Invested Capital	40.9	-11.5	39.2
Workers	-4.0	-6.8	-4.1
Total persons engaged	-2.6	-5.1	-2.7
Wages to workers	35.5	14.3	35.1
Total Emoluments	18.8	7.1	18.6
Input	5.6	-20.3	5.1
Gross Output	7.3	-13.9	6.9
Depreciation	8.5	0	8.2
Net Value Added	14.9	23.1	15.1
Net Income	16.9	23.6	17.0

3.4 Growth: It is observed from table no. 3.2 that total number of factory units has increased by (0.2%) during 2009-10 over 2008-09. The growth in Net Value Added during 2009-10 over 2008-09 under All industries was 15.1%. Among other characteristics enjoying positive growth in manufacturing sector are Fixed capital (26.8%), Invested capital (40.9%), Wages to workers (35.5%), Total Emoluments (18.8%), Input (5.6%), Gross output (7.3%), Depreciation (8.5%), Net Value Added (14.9%) and Net Income (16.9%). Whereas Workers and Total persons engaged have shown negative growth of (-4.0%) and (-2.6%) respectively.

TABLE NO. 3.3

STRUCTURAL RATIOS AND TECHNICAL COEFFICIENTS BY MAJOR ECONOMIC ACTIVITY

Item	Unit	Manufacturing		Others		All	
		2008-09	2009-10	2008-09	2009-10	2008-09	2009-10
1	2	3	4	5	6	7	8
Structural Ratios							
Fixed capital per factory	Rs. in lakh	999.20	1264.06	1359.09	1222.73	1014.45	1262.3
Gross output per factory	Rs. in lakh	5435.41	5822.09	2327.27	2004.55	5303.66	5660.58
Net value added per factory	Rs. in lakh	973.24	1116.47	295.45	363.34	944.51	1084.62
Workers per factory	Number	79	76	50	46	78	75
Persons engaged per factory	Number	104	101	62	59	102	99
Fixed capital per person engaged	Rs. in lakh	9.6	12.5	21.8	20.7	9.9	12.7
Gross output per person engaged	Rs. in lakh	52.2	57.5	37.4	33.9	51.8	56.9
Net value added per person engaged	Rs. in lakh	9.3	11	4.7	6.6	9.2	10.9
Total emoluments per person engaged	Rs. in lakh	1.7	2.12	1.0	1.2	1.7	2.1
Wages per worker	Rs. in lakh	0.9	1.3	0.6	0.8	0.9	1.3
Technical Coefficient							
Fixed capital to Net value added		1.03	1.13	4.60	3.36	1.07	1.16
Fixed capital to Gross output		0.18	0.22	0.58	0.61	0.19	0.22
Net value added to Gross output		0.18	0.19	0.13	0.18	0.18	0.19
Total emoluments to Net value added		0.19	0.19	0.22	0.19	0.19	0.19

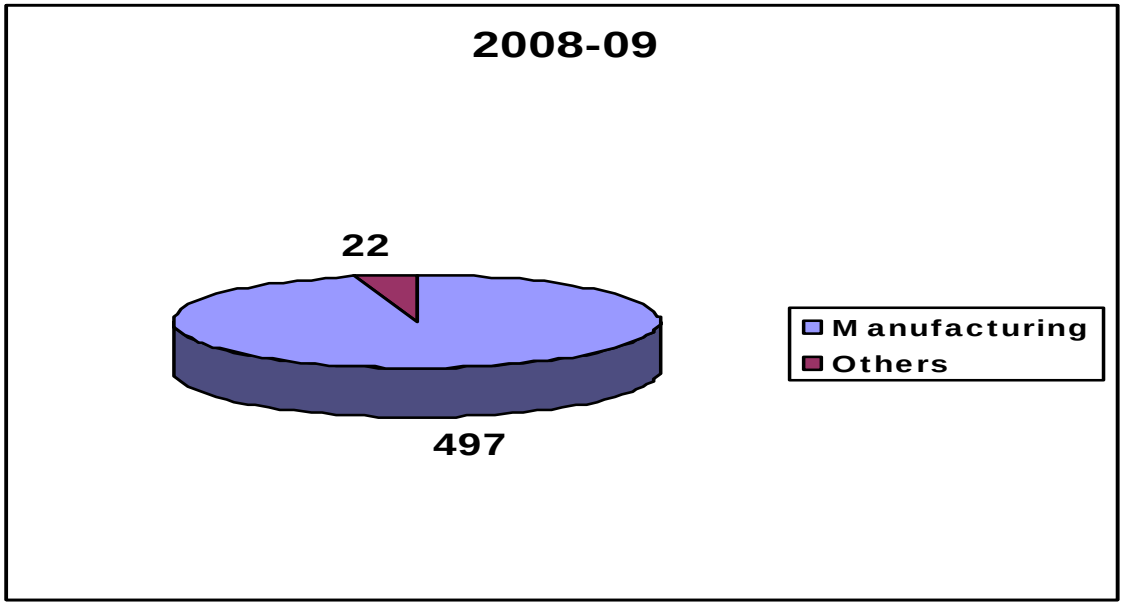
3.5 **Some technical structural ratios/coefficients**: Above table reveals certain important structural ratios and coefficients which are the basic structure of the contribution to the economy.

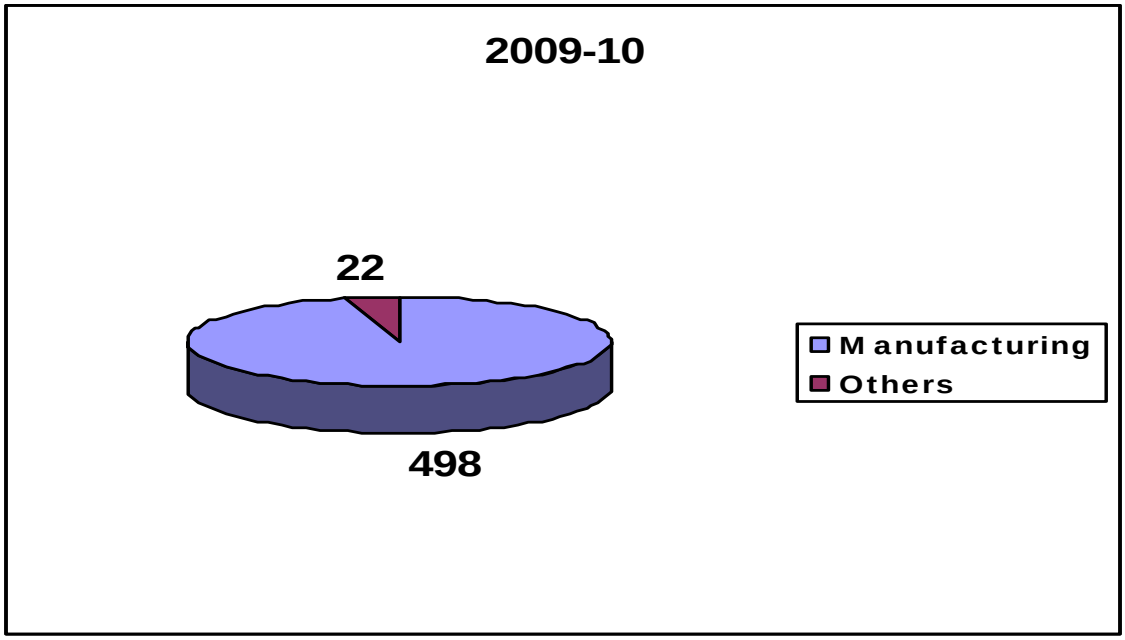
3.6 The fixed capital utilized by each factory unit in case of all the activities and that under manufacturing sector, which also forms the major sector, works out to the value of Rs.1014.45 lakh and Rs.1262.3 lakh and Rs.999.20 lakh and Rs.1264.06 lakh respectively during 2008-09 & 2009-10. The ratio of Net value added per factory has increased from Rs.973.24 lakhs in 2008-09 to Rs.1116.47 lakhs in 2009-10 under manufacturing sector and similar trend is visible under “Others” category. Net value added per person engaged shows an increasing trend both in manufacturing sector and under “Others” category of industries. It is important to note that the average wages per worker per annum has increased significantly from Rs.90,000 in 2008-09 to Rs.1.3 lakhs in 2009-10. On the other hand, number of workers employed per factory during 2009-10 over 2008-09 has decreased in both the sectors viz. manufacturing and factories covered under “others” group. Gross

output per person engaged shows an upward trend in manufacturing sector, but it has declined in "Others" sector. As regards Technical Coefficients, the coefficient of fixed capital to net value added stood at 1.07 and 1.16 during 2008-09 and 2009-10 respectively under the sector "All activities". The coefficient of Fixed Capital to Gross Output has shown an upwards from 0.19 in 2008-09 to 0.22 in 2009-10. Also the coefficient of net value added to gross output has increased from 0.18 in 2008-09 to 0.19 for the year 2009-10. Total emoluments paid in terms of Net value added generated has remained Constant in Manufacturing sector, whereas in "Others" category it has decreased from 0.22 in 2008-09 to 0.19 in 2009-10.

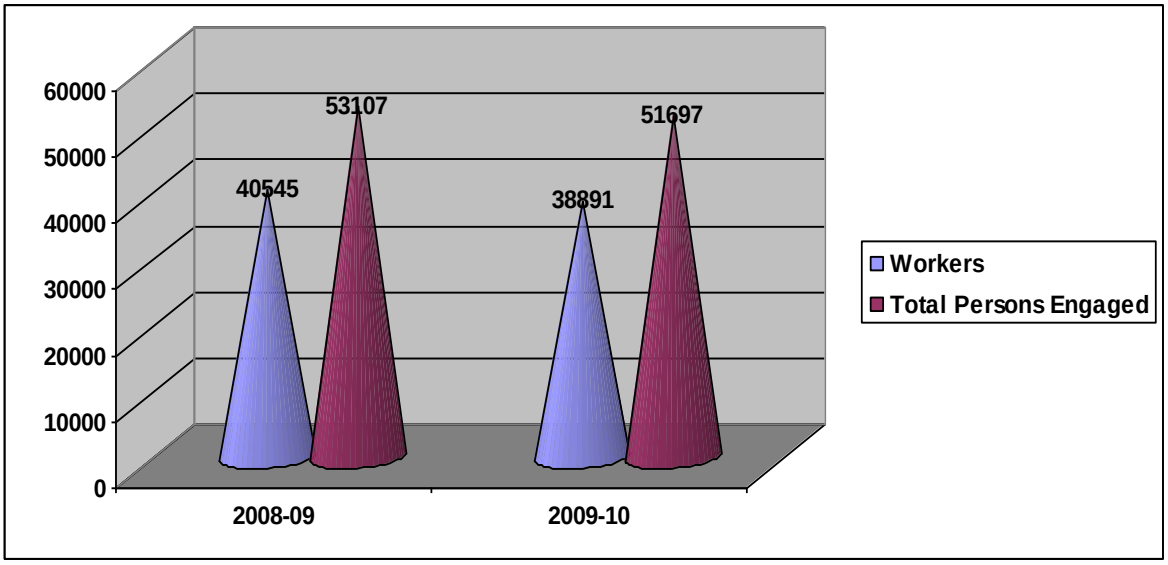
PRINCIPAL CHARACTERISTICS BY MAJOR ECONOMIC ACTIVITY

(i) No. of Factories

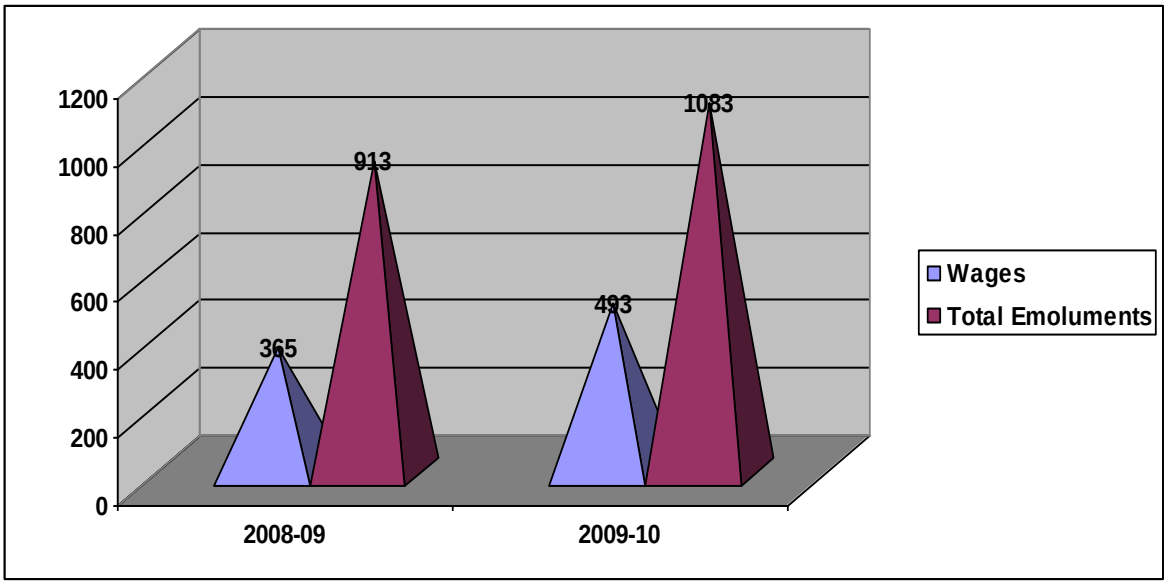




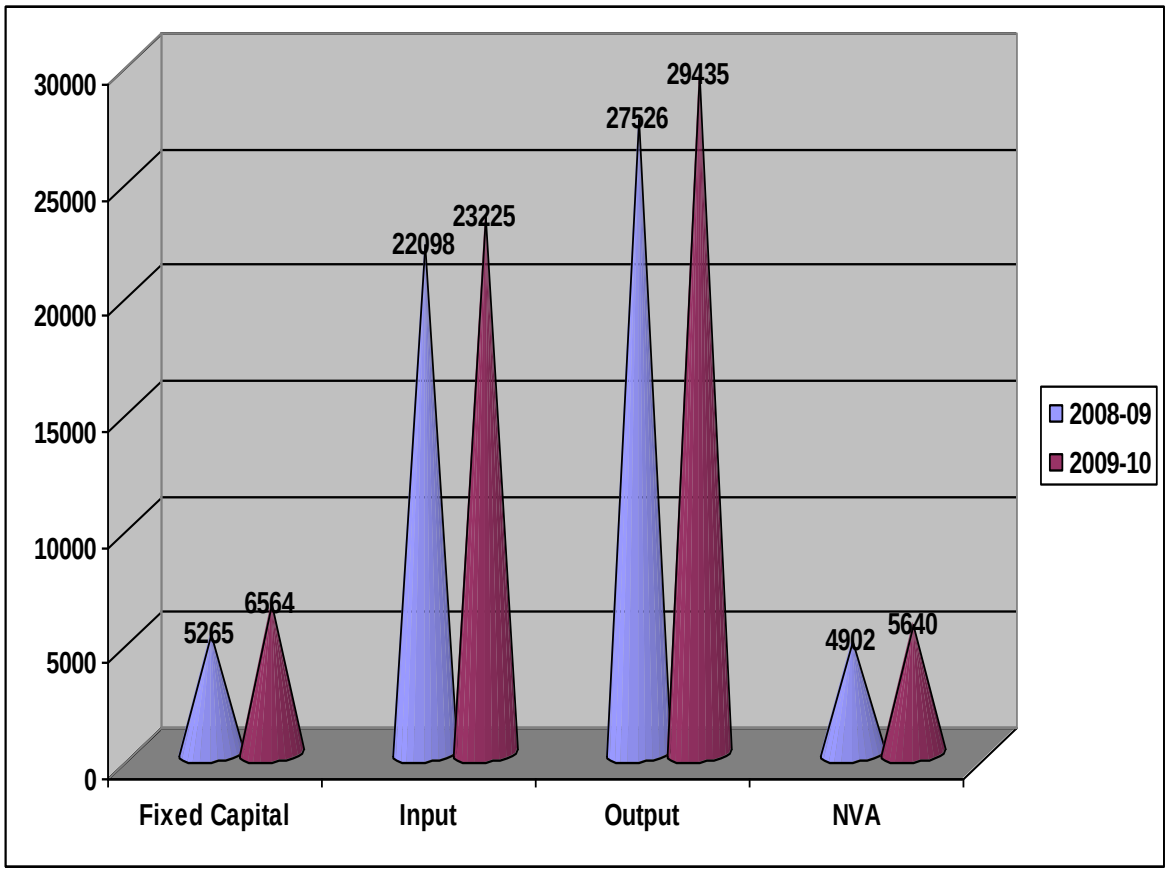
(ii) No. of workers & Persons engaged



(iii) Wages and Emoluments (Rs. in crore)



(iv)Comparison of important characteristics (Rs. in crores)



CHAPTER – FOUR
DISTRIBUTION OF FACTORIES BY SIZE OF EMPLOYMENT

4.1 Table 4.1 reveals the distribution of factories in absolute and percentage terms, by employment range groups as regards certain selected characteristics associated with them. The results for the year 2009-10 are compared with the results of 2008-09.

TABLE NO. 4.1

DISTRIBUTION OF FACTORIES BY SIZE OF EMPLOYMENT
(Rs. in crores.)

Employment range	Factories (Number)		Fixed Capital		Workers (Number)		Gross Output		Net value added	
	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10
1	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**	**10**	**11**
0-49	262	263	637	620	3911	4016	1966	1594	155	247
(%)	(50)	(51)	(12)	(10)	(10)	(10)	(7)	(5)	(3)	(4)
50-99	110	107	675	464	5989	5717	3925	2631	1046	672
(%)	(21)	(21)	(13)	(7)	(15)	(15)	(14)	(9)	(21)	(12)
100-199	72	72	671	1389	7464	6944	3767	7445	882	852
(%)	(14)	(14)	(13)	(21)	(18)	(18)	(14)	(25)	(18)	(15)
200-499	52	59	1516	2574	10526	10591	5564	8763	1028	2338
(%)	(10)	(11)	(29)	(39)	(26)	(27)	(20)	(30)	(21)	(42)
500 & above	24	19	1766	1517	12655	11623	12304	9002	1791	1531
(%)	(5)	(3)	(34)	(23)	(31)	(30)	(45)	(31)	(37)	(27)
Total	**519**	**520**	**5265**	**6564**	**40545**	**38891**	**27526**	**29435**	**4902**	**5640**
(%)	(**100**)	**(100)**	(**100**)	**(100)**	(**100**)	(**100**)	(**100**)	(**100**)	(**100**)	(**100**)

Figures in bracket indicate percentages

Out of the total number of 520 factories covered during 2009-10, factory units employing less than 50 persons were found to be covering 51% or 263 units of the total and this coverage was 50% or 262 units of the total in the year 2008-09. In the units employing persons in the range of 500 & above the utilization of fixed capital has declined from 34% in 2008-09 to 23% in 2009-10 and provided employment to the workers to the tune of 30%. In 2009-10 Gross output of 31% was recorded as the highest yield of the factory units that classified under the range 500 & above followed by 30% in the employment range of 200-499. The factories in the range of 200-499 generated highest Net value added during the year in consideration which was worth 42% of the total.

TABLE NO. 4.2

PERCENTAGE GROWTH IN FACTORIES BY SIZE OF EMPLOYMENT DURING 2009-10 OVER 2008- 09

Employment range	Factories	Fixed capital	Workers	Gross output	Net value added
1	2	3	4	5	6
0-49	0	-3	3	-19	59
50-99	-3	-31	-5	-33	36
100-199	0	107	-7	98	-3
200-499	13	70	1	57	127
500 & above	-21	-14	-8	-27	-15
Total	**0**	**25**	**-4**	**7**	**15**

4.2 Table 4.2 reveals a negligible growth in total number of factories covered during 2009-10 compared to 2008-09. While the number of factories covered in the employment range of 200-499 increased by 13%, it decreased by 21% in the employment range of 500 & above. The maximum growth of 107% and 70% in Fixed Capital is noticed in the employment range of 100-199 and 200-499 respectively. As regards number of workers, only two employment ranges viz 0-49 & 200-499 have registered a positive growth while the remaining employment ranges have registered a negative growths. The employment range of 100-199 secured a growth of 98% in Gross Output followed by 57% in 200-499 range over the year 2008-09. NVA shows a significant increase of 127% in 200-499 range followed by 59% in the 0-49 range.

TABLE NO. 4.3

STRUCTURAL RATIOS AND TECHNICAL COEFFICIENTS BY SIZE OF EMPLOYMENT

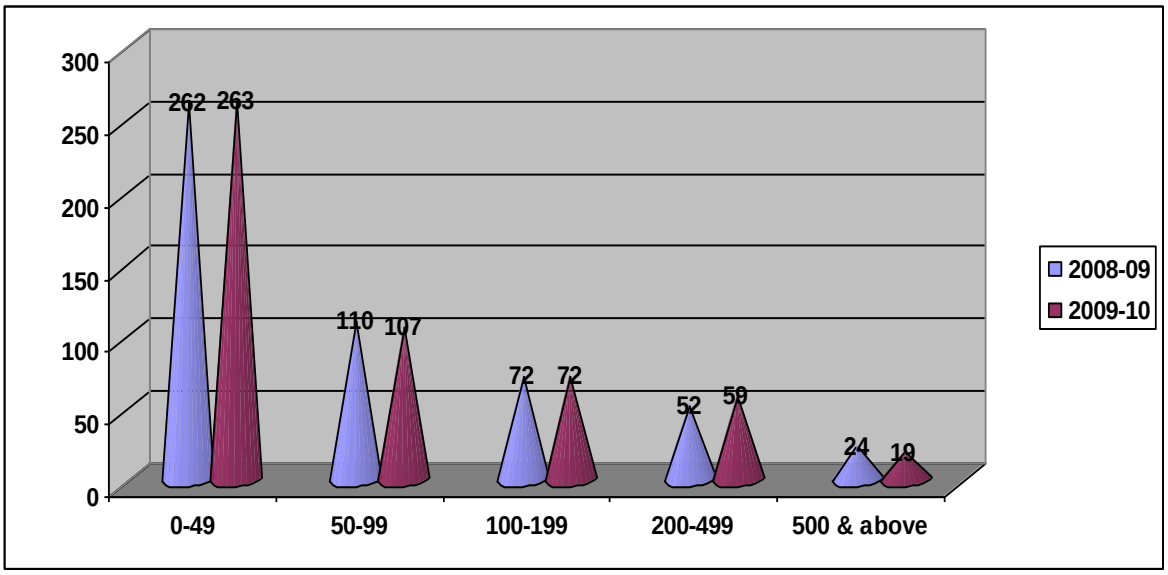
Employment range	Fixed capital per person engaged (Rs. in lakh)		Net value added per person engaged (Rs. in lakh)		Wages per worker (Rs. in lakh)		Technical Coefficient							
							FC to NVA		FC to GOP		NVA to GOP		Total Emoluments to NVA	
	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
0-49	11.79	11.63	2.87	4.64	0.65	0.86	4.11	2.51	0.32	0.39	0.08	0.16	0.40	0.28
50-99	8.26	6.05	12.80	8.78	0.77	0.88	0.65	0.69	0.17	0.18	0.27	0.26	0.12	0.15
100-199	6.86	15.00	9.01	9.20	0.67	1.53	0.76	1.63	0.18	0.19	0.23	0.11	0.13	0.29
200-499	11.35	16.96	7.70	15.41	0.91	1.27	1.47	1.10	0.27	0.29	0.18	0.27	0.20	0.16
500 & above	10.77	10.63	10.92	10.72	1.17	1.44	0.99	0.99	0.14	0.17	0.15	0.17	0.15	0.19
Total	**9.91**	**12.70**	**9.23**	**10.91**	**0.90**	**1.27**	**1.07**	**1.16**	**0.19**	**0.22**	**0.18**	**0.19**	**0.16**	**0.19**

Structural ratios and technical coefficient: Important ratios and coefficient in different employment ranges are given in table 4.3. The average least value of fixed capital utilized during 2009-10 was in the range of 50-99 being Rs.6.05 lakhs, and the highest was in the range of 200-499 being Rs.16.96 lakhs. Highest value of NVA of Rs.15.41 lakhs per person engaged among all the employment ranges was generated in the employment range employing 200-499. The highest average wage remuneration was paid in the employment range of 100-199 i.e. Rs.1.53 lakh during the year 2009-10.

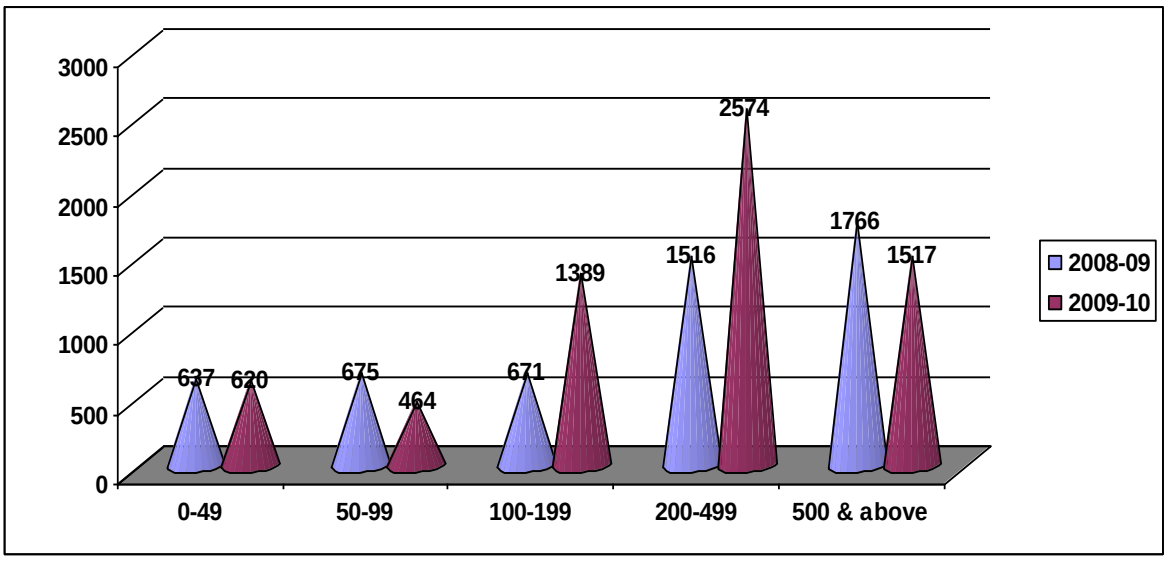
The Net value added co-efficient measured by value of Fixed Capital required to generate each rupee of net value added i.e. (FC to NVA) varies from a low value of 0.69 among factories in employment size class 50-99 to a high value of 2.51 in the employment size class of 0-49 in the year 2009-10, while FC to Gross Output ranged from 0.17 to 0.39 among the factories in the employment range class of 500 & above and 0-49 respectively during the year 2009-10. The value of NVA to Gross output was highest in 200-499 employment range. Total emoluments to NVA were ranged between 0.15 to 0.29 in the employment range of 50-99 and 100-199 respectively. In other words, 15% to 29% of NVA generated was disbursed as emoluments as least and highest remuneration during the current year in the whole set up.

DISTRIBUTION OF FACTORIES BY SIZE OF EMPLOYMENT

(i) No. of Factories



(ii) Fixed Capital (Rs. in crores)



CHAPTER – FIVE

DISTRIBUTION OF FACTORIES BY SIZE OF CAPITAL

5.1 **Principal Characteristics**: The distribution of factories together with their share in certain selected characteristics by size of capital, viz. the undepreciated gross value of plant and machinery installed in the factory whether owned or leased in, is given in Table 5.1 along with the percentage distribution of factories according to the investment in Plant and Machinery duly compared with the earlier year.

TABLE NO. 5.1

PRINCIPAL CHARACTERISTICS BY SIZE OF CAPITAL

(Value in Rs. crore)

Capital range of Plant & Machinery (Rs. in lakh)	Factories (Number)		Fixed Capital		Workers (number)		Gross Output		Net Value Added	
	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10
1	2	3	4	5	6	7	8	9	10	11
Upto 5.0	114	128	47	229	2878	2572	274	211	27	37
(%)	(21.97)	(24.62)	(0.89)	(3.49)	(7.10)	(6.61)	(1.00)	(0.72)	(0.55)	(0.66)
5.0 - 20	41	28	54	12	1939	840	264	62	35	19
(%)	(7.90)	(5.38)	(1.03)	(0.18)	(4.78)	(2.16)	(0.96)	(0.21)	(0.71)	(0.34)
20 - 50	51	60	37	32	1086	1877	151	243	30	36
(%)	(9.83)	(11.54)	(0.70)	(0.49)	(2.68)	(4.83)	(0.55)	(0.83)	(0.61)	(0.64)
50 - 200	92	92	268	262	3132	3863	1133	1811	125	266
(%)	(17.73)	(17.69)	(5.09)	(3.99)	(7.72)	(9.93)	(4.12)	(6.15)	(2.55)	(4.72)
200 - 1000	128	111	725	702	10028	7776	5801	3538	892	682
(%)	(24.66)	(21.35)	(13.77)	(10.69)	(24.73)	(19.99)	(21.08)	(12.02)	(18.20)	(12.09)
1000-5000	63	65	1286	1279	10176	8712	5354	9319	1665	1741
(%)	(12.14)	(12.5)	(24.43)	(19.49)	(25.10)	(22.40)	(19.45)	(31.66)	(33.97)	(30.87)
>5000	32	36	2848	4048	11306	13251	14548	14250	2128	2859
(%)	(6.17)	(6.92)	(54.09)	(61.67)	(27.89)	(34.07)	(52.85)	(48.41)	(43.41)	(50.69)
Total	**519**	**520**	**5265**	**6564**	**40545**	**38891**	**27525**	**29434**	**4902**	**5640**
(%)	(**100.00**)	(**100.00**)	(**100.00**)	(**100.00**)	(**100.00**)	(**100.00**)	(**100.00**)	(**100.00**)	(**100.00**)	(**100.00**)

Figures in bracket indicate percentages.

The concentration of as much as 114 and 128 establishments or 21.97% and 24.62% of the total number of registered factories covered during the years 2008-09 and 2009-10 respectively, invested on an average amount of upto Rs.5 lakh in plant and machinery.

As against these, factories with gross investment in plant & machinery between Rs.200-1000 lakh covered 128 and 111 (24.66% and 21.35%) factories in number and used Rs.725 crore and Rs.702 crore (13.77% & 10.69%) of the fixed capital. Further this group engaged workforce of 10028 and 7776; it produced goods and services worth Rs.5801 crore & Rs.3538 crore and contributed Rs.892

crore & Rs.682 crore on net value added by manufacture during the years 2008-09 and 2009-10 respectively.

The lowest number of factories covered during 2008-09 was 32 or 6.17% in the capital range of Rs.5000 lakh & above, and it was 28 or 5.38% during 2009-10 in the capital range of Rs.5.0-20 lakhs. The factories in the capital range of Rs.5000 lakh and above utilized fixed capital worth Rs.2848 crore & Rs.4048 crores (54.09% and 61.67% each), which provided employment to 11306 and 13251 (27.89% & 34.07%) persons during 2008-09 & 2009-0 respectively. The contribution of the factories of above Rs.5000 lakh capital range towards gross output and net value added by manufacture were to the tune of Rs.14548 crore and Rs.14250 crore or 52.85% & 48.41% and Rs.2128 crore or 43.41% and Rs.2859 crore or 50.69% respectively during the years compared.

The lowest fixed capital of Rs.37 crore (0.70%) during 2008-09 and Rs.12 crore (0.18%) during the year 2009-10 were noticed in the capital range of Rs.20-50 lakh and Rs.5.0-20 lakh respectively. The least number of workers employed were 1086 workers in the capital range of Rs.20-50 lakh and 840 workers in the capital range of Rs.5.0-20 lakh during the year 2008-09 & 2009-10 respectively who produced goods/services of the value of Rs.151 crores and Rs.62 crore contributing to the net income in the form of net value added of the order of Rs.30 crore and Rs.19 crore of the total net value added during the years 2008-09 and 2009-10.

TABLE NO. 5.2

PERCENTAGE GROWTH IN PRINCIPAL CHARACTERISTICS BY SIZE OF CAPITAL DURING 2009-10 OVER 2008-09

Capital range of Plant & Machinery (Rs. in lakh)	Factories	Fixed Capital	Workers	Gross Output	Net Value Added
1	2	3	4	5	6
Upto 5.0	12.3	387.2	-10.6	-23.0	37.0
5.0 - 20	-31.7	-77.8	-56.7	-76.5	-45.7
20 - 50	17.6	-13.5	72.8	60.9	20.0
50 - 200	0.0	-2.2	23.3	59.8	112.8
200 - 1000	-13.3	-3.2	-22.5	-39.0	-23.5
1000-5000	3.2	-0.5	-14.4	74.1	4.6
>5000	12.5	42.1	17.2	-2.0	34.4
Total	**0.2**	**24.7**	**-4.1**	**6.9**	**15.1**

Growth: Table 5.2 exhibits the growth in factories during the year 2009-10 over the previous year in terms of factories with gross investment in plant and machinery. Factories investing in plant and machinery in the capital range of Rs.20-50 lakh have registered highest growth of 17.6% followed by 12.3% in Less than Rs.5 lakh capital range. However, there was negative growth in number of factories during 2009-10 over 2008-09 in the capital ranges of Rs.5.0-20 lakh & Rs.200-1000 lakh.

The maximum growth of 387.2% in Fixed capital was noticed in the employment range of less than Rs.5 lakh followed by 42.1% in the range of above Rs.5000 lakhs. The highest growth in the number of workers employed was in the capital range of Rs.20-50 lakh. Gross output grew by 74.1% in the capital range of Rs.1000-5000 lakhs. Maximum growth in net value added i.e.112.8% was observed in the factories investing in plant and machinery in capital range Rs.50-200 lakhs. The growth in net value added varied from -23.5% to 112.8% over the different capital ranges of investment in Plant and Machinery with average growth for all the units registering at 15.1%.

5.3 **Structural Ratios and Technical Coefficients**: Table 5.3 below reveals structural ratios and technical coefficient of factories, classified by size of capital invested in plant and machinery.

TABLE NO. 5.3

STRUCTURAL RATIOS AND TECHNICAL COEFFICIENTS BY SIZE OF CAPITAL

Capital range of Plant & Machinery (Rs. in Lakh)	Fixed capital per person engaged (Rs. in lakh)		Net value added per person engaged (Rs. in lakh)		Wages per worker (Rs. in lakh)		Technical Coefficient							
							FC to NVA		FC to GOP		NVA to GOP		Total Emoluments to NVA	
	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
Upto 5.0	1.39	7.51	0.79	1.21	0.37	0.64	1.76	6.21	0.17	1.09	0.10	0.18	0.67	0.69
5.0 - 20	2.29	1.23	1.48	1.99	0.45	0.49	1.55	0.62	0.20	0.19	0.13	0.31	0.43	0.30
20 - 50	2.55	1.41	2.09	1.56	0.50	0.51	1.22	0.90	0.24	0.13	0.20	0.15	0.41	0.55
50 - 200	6.06	5.06	2.82	5.12	0.78	0.91	2.15	0.99	0.24	0.14	0.11	0.15	0.47	0.26
200 - 1000	5.30	6.09	6.53	5.92	0.72	0.98	0.81	1.03	0.12	0.20	0.15	0.19	0.18	0.29
1000-5000	9.25	10.78	11.97	14.67	0.85	1.13	0.77	0.73	0.24	0.14	0.31	0.19	0.14	0.13
>5000	20.48	24.07	15.31	17.01	1.40	1.91	1.34	1.42	0.20	0.28	0.15	0.20	0.13	0.19
Total	**9.91**	**12.70**	**9.23**	**10.91**	**0.90**	**1.27**	**1.07**	**1.16**	**0.19**	**0.22**	**0.18**	**0.19**	**0.16**	**0.19**

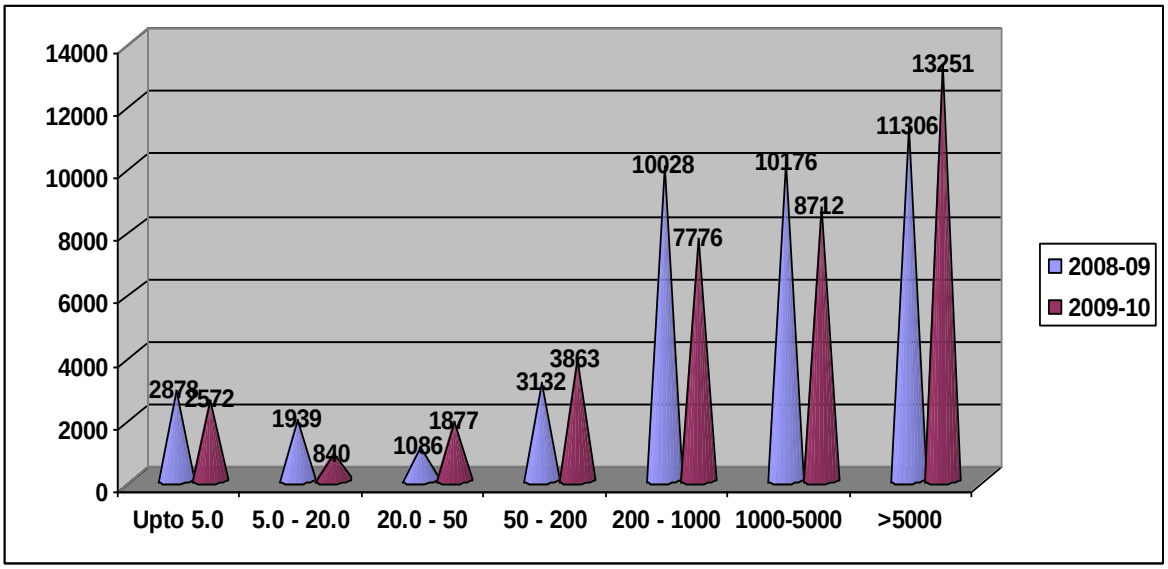
The lowest and the highest ratio for Fixed Capital per person engaged during 2008-09 was Rs.1.39 lakh and Rs.20.48 lakh in the capital range of less than Rs.5 lakh and above Rs.5000 lakh respectively, while during 2009-10 it was Rs.1.23 lakh and Rs.24.07 lakh in the capital ranges of Rs.5.0-Rs.20 lakh and above Rs.5000 lakh respectively. The Net value added contributed by each person engaged was as high as Rs.15.31 lakh and Rs.17.01 lakh in the factories of the capital range of above Rs.5000 lakh for the year 2008-09 and 2009-10 respectively and the lowest being Rs.0.79 lakh and Rs.1.21 lakh in the capital range of Upto Rs.5 lakhs.

The workers employed in the capital range investment of Rs.5000 lakh & above were paid average highest remuneration to the tune of Rs.1.4 lakh and Rs.1.91 lakh per annum during the respective years, average remuneration of all the capital ranges being Rs.90 thousand and Rs.1.27 Lakh respectively for the years under consideration.

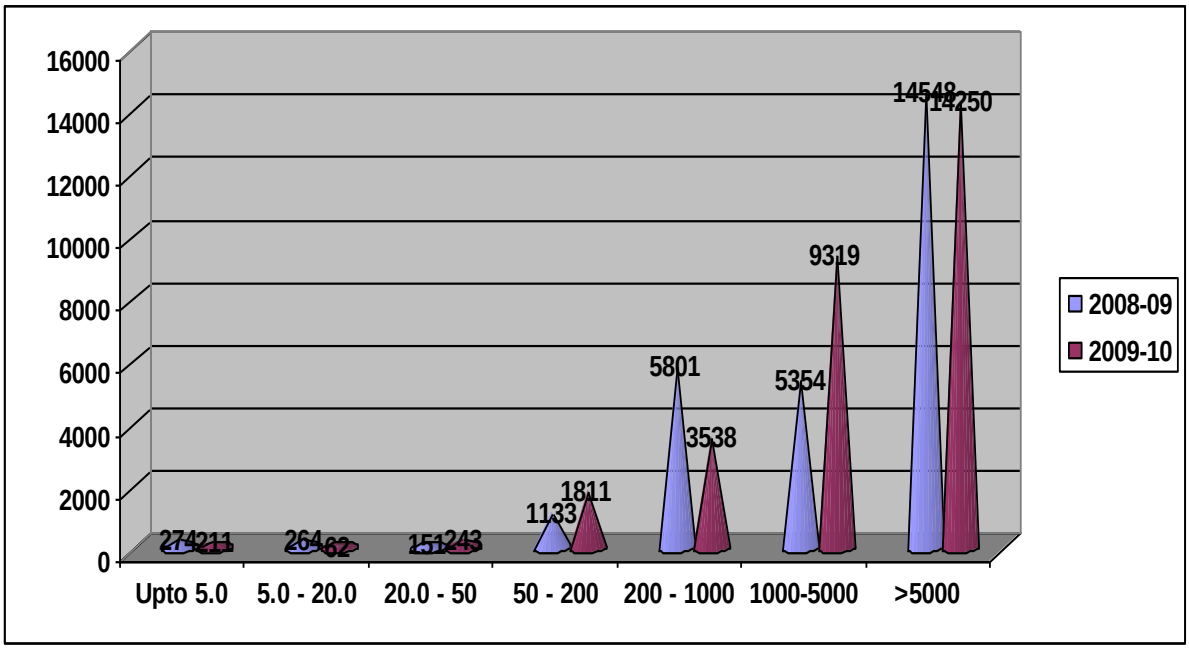
As far as co-efficient is concerned, least Fixed Capital utilized to generate Net Value Added worth a rupee noted during 2008-09 and 2009-10 was 0.77 and 0.62 in the capital range Rs.1000-5000 lakhs and Rs.5.0-20 lakh. However, the highest was in the range of Rs.50-200 lakh i.e. 2.15 during 2008-09 and in the year 2009-10 was 6.21 in the capital range of Upto Rs.5.0 lakh. Highest Fixed Capital utilized to produce Gross Output was 1.09 in the range of Upto Rs.5.0 lakh, and the least was 0.13 which falls in the range of Rs 20-50 lakh for the year 2009-10. The Highest NVA to GOP was in the range of Rs.5.0-20 lakh i.e. 0.31and lowest was in the range of upto Rs.20-50 lakh and Rs.50-200 lakh being 0.15 for the current year.

PRINCIPAL CHARACTERISTICS BY SIZE OF CAPITAL

(i) No. of workers



(ii) Gross Output (Rs. in crores)



CHAPTER – SIX

DISTRIBUTION OF FACTORIES BY TYPE OF OWNERSHIP

Principal Characteristics : Table No.6.1 indicate the distribution of factories canvassed during the years 2008-09 and 2009-10 in absolute and percentage terms by type of ownership viz. public, private and joint sectors.

TABLE NO. 6.1

Principal Characteristics by Type of Ownership

(Value in Rs. crore)

Type of Ownership	Factories		Fixed Capital		Workers (Number)		Output		Net Value Added	
	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10
1	2	3	4	5	6	7	8	9	10	11
1. Wholly Central Govt *	0	0	0	0	0	0	0	0	0	0
(%)										
2. Wholly State Govt.	2	2	4	5	138	158	17	24	3	-36
(%)	(0.39)	(0.38)	(0.08)	(0.08)	(0.34)	(0.41)	(0.06)	(0.08)	(0.06)	(-0.64)
3. Central & State/local Govt	1	0	3	0	47	0	0	0	0	0
(%)	(0.19)		(0.06)		(0.12)					
4. Public Sector (1+2+3)	**3**	**2**	**7**	**5**	**185**	**158**	**17**	**24**	**3**	**-36**
(%)	**(0.58)**	**(0.38)**	**(0.13)**	**(0.08)**	**(0.46)**	**(0.41)**	**(0.06)**	**(0.08)**	**(0.06)**	**(-0.64)**
5. Joint Sector (Public)	8	11	260	495	3653	4086	991	1520	299	450
(%)	(1.54)	(2.12)	(4.94)	(7.54)	(9.01)	(10.51)	(3.60)	(5.16)	(6.10)	(7.98)
6. Joint Sector (Private)	11	3	118	8	952	235	634	102	310	2
(%)	(2.12)	(0.58)	(2.24)	(0.12)	(2.35)	(0.60)	(2.30)	(0.35)	(6.32)	(0.04)
7. Joint Sector (5+6)	**19**	**14**	**378**	**503**	**4605**	**4321**	**1625**	**1622**	**609**	**452**
(%)	**(3.66)**	**(2.69)**	**(7.18)**	**(7.66)**	**(11.36)**	**(11.11)**	**(5.90)**	**(5.51)**	**(12.42)**	**(8.01)**
8. Wholly Private	497	504	4880	6056	35755	34413	25884	27789	4290	5188
(%)	(95.76)	(96.92)	(92.69)	(92.26)	(88.19)	(88.48)	(94.03)	(94.41)	(87.52)	(91.99)
Total	**519**	**520**	**5265**	**6564**	**40545**	**38892**	**27526**	**29435**	**4902**	**5640**
(%)	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**

Figures in bracket indicate percentages

It may be observed that a very large in number viz. 497 and 504 or 95.76% and 96.92% of the total factories belonging to wholly private ownership category, controlled the whole set up dominating in all attributes over all the sectors. This sector alone provided employment to 35755 and 34413 workers during the years under discussion, which works out to 88.19% & 88.48% for both the years, utilized fixed capital worth Rs.4880 crore (92.69%) and Rs.6056 crore (92.26%) and thereby produced goods/services worth Rs.25884 crore (94.03%) and Rs.27789 crore (94.41%) which accounted for increasing the level of income of the state in the form of net value added by Rs.4290 crore (87.52%) and Rs.5188 crore (91.99%) respectively of the total for both the years i.e. 2008-09 and 2009-10.

As against these the public sector factories either owned wholly or jointly by the Central, State or Local Governments were only 3 and 2 in numbers (0.6% and 0.4%) of the total factories during the year 2008-09 and 2009-10 respectively. These factories controlled Rs.7 crore and Rs.5 crore or (0.13%) and (0.08%) of the total fixed capital and engaged 185 or (0.46%) and 158 or (0.41%) of the total workforce respectively in the registered factories sector during 2008-09 and 2009-10 respectively. Their shares in the total gross output and net value added were Rs.17 crore and Rs.24 crore or (0.06%) and (0.08%) and Rs.3 crore or (0.06%) and Rs.-36 lakh or (-0.64%) of the respective totals.

The third sector i.e. Joint sector covered 19 and 14 factories each, utilized fixed capital worth Rs.378 crore and Rs.503 crore, engaged 4605 and 4321 workers manufactured products of the value of Rs.1625 crore and Rs.1622 crore during both the years. The Net Value Added generated was of the order of Rs.609 crore and Rs.452 crore respectively during the year 2008-09 and 2009-10.

TABLE NO. 6.2

PERCENTAGE GROWTH IN PRINCIPAL CHARACTERISTICS BY TYPE OF OWNERSHIP DURING 2009-10 OVER 2008-09

Type of Ownership	Factories	Fixed Capital	Workers	Output	Net Value Added
1	2	3	4	5	6
1. Wholly Central Govt.	--	--	--	--	--
2. Wholly State Govt.	0.0	25.0	14.5	41.2	-100.0
3. Central & State/local Govt.	-100.0	-100.0	-100.0	0.0	0.0
4. Public Sector (1+2+3)	-33.3	-28.6	-14.6	41.2	-100.0
5. Joint Sector (Public)	37.5	90.4	11.9	53.4	50.5
6. Joint Sector (Private)	-72.7	-93.2	-75.3	-83.9	-99.4
7. Joint Sector (5+6)	-26.3	33.1	-6.2	-0.2	-25.8
8. Wholly Private	1.4	24.1	-3.8	7.4	20.9
Total	**0.2**	**24.7**	**-4.1**	**6.9**	**15.1**

Growth: As compared to 2008-09, the number of factories in the wholly private sector during 2009-10 has increased by 7 i.e. (1.4%) there by increasing the fixed capital by 24.1%. It has registered a decline of 3.8% in number of workers, produced goods and services with a growth of 7.4%, thereby generating the state income by way of net value added which was higher by 20.9% over 2008-09.Under Public sector while there was a growth of 41.2% in gross output, all other characteristics has shown negative trend over the year 2008-09. Similarly under Joint Sector only Fixed Capital has shown a positive growth, where as in all other Joint Sector categories there is declining trend.

TABLE NO. 6.3

STRUCTURAL RATIOS AND TECHNICAL COEFFICIENTS BY TYPE OF OWNERSHIP

Type of Ownership	Fixed capital per person engaged (Rs. in lakh)		Net value added per person engaged (Rs. in lakh)		Wages per worker (Rs. in lakh)		Technical Coefficient							
							FC to NVA		FC to GOP		NVA to GOP		Total Emoluments to NVA	
	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
1. Wholly Central Govt.	--	--	--	--	--	--	--	--	--	--	--	--	--	--
2. Wholly State Govt.	1.91	2.12	1.43	-0.14	1.31	1.22	1.34	-15.14	0.26	0.23	0.19	-0.01	1.06	-10.28
3. Central & State/local Govt.	4.49	--	-0.53	--	1.21	--	-8.49	--	157.00	--	-18.50	--	-2.76	--
4. Public Sector (1+2+3)	**2.52**	**2.12**	**0.97**	**-0.14**	**1.29**	**1.22**	**2.61**	**-15.14**	**0.45**	**0.23**	**0.17**	**-0.01**	**1.55**	**-10.28**
5. Joint Sector (Public)	6.18	10.24	7.11	9.31	0.93	0.99	0.87	1.10	0.26	0.33	0.30	0.30	0.17	0.15
6. Joint Sector (Private)	9.04	2.44	23.80	0.78	0.72	1.45	0.38	3.11	0.19	0.07	0.49	0.02	0.07	2.25
7. Joint Sector (5+6)	**6.85**	**9.76**	**11.05**	**8.79**	**0.89**	**1.02**	**0.62**	**1.11**	**0.23**	**0.31**	**0.37**	**0.28**	**0.12**	**0.16**
8. Wholly Private	10.32	13.08	9.07	11.21	0.90	1.30	1.14	1.17	0.19	0.22	0.17	0.19	0.16	0.19
Total	**9.91**	**12.70**	**9.23**	**10.91**	**0.90**	**1.27**	**1.07**	**1.16**	**0.19**	**0.22**	**0.18**	**0.19**	**0.16**	**0.19**

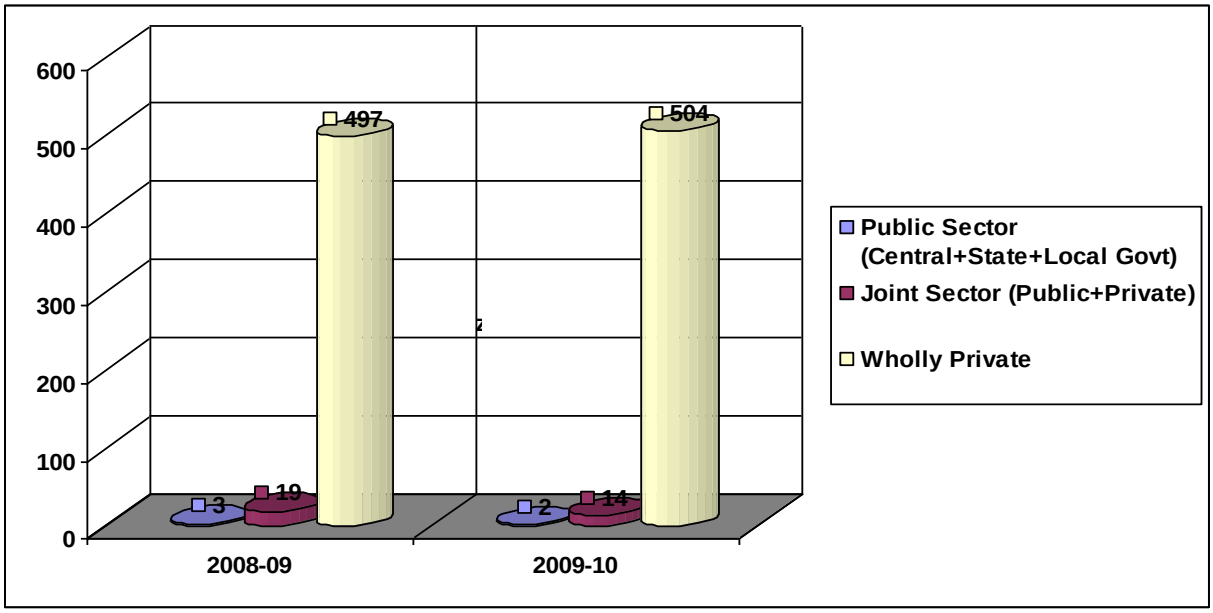
Structural ratios and technical coefficients: Certain structural ratios and technical coefficients for each type of ownership are given in table 6.3. On an average each person engaged in wholly private sector generated an income in the form of net value added which was worth Rs.9.07 lakh and Rs.11.21 lakh during both the years. It utilized fixed capital worth Rs.10.32 lakh and Rs.13.08 lakh respectively during 2008-09 & 2009-10, but the remuneration paid to each worker in this profit oriented sector was of the order of Rs.90 thousand and Rs.1.30 lakh respectively during both the years.

The net value added for each rupee of gross output produced in public sector has decreased from 17 paise in 2008-09 to -1paise in 2009-10. Each rupee of gross output produced came from utilization of fixed capital worth 45 paise and 23 paise respectively during 2008-09 & 2009-10 in Public Sector and it was 19 paise & 22 paise in wholly private sector during respective years. Similarly, each rupee of net value added has come from utilization of fixed capital worth of Rs.2.61 and Rs.-15.14 respectively during 2008-09 and 2009-10 in public sector, while it was Rs.1.14 and Rs.1.17 in wholly private sector during respective years.

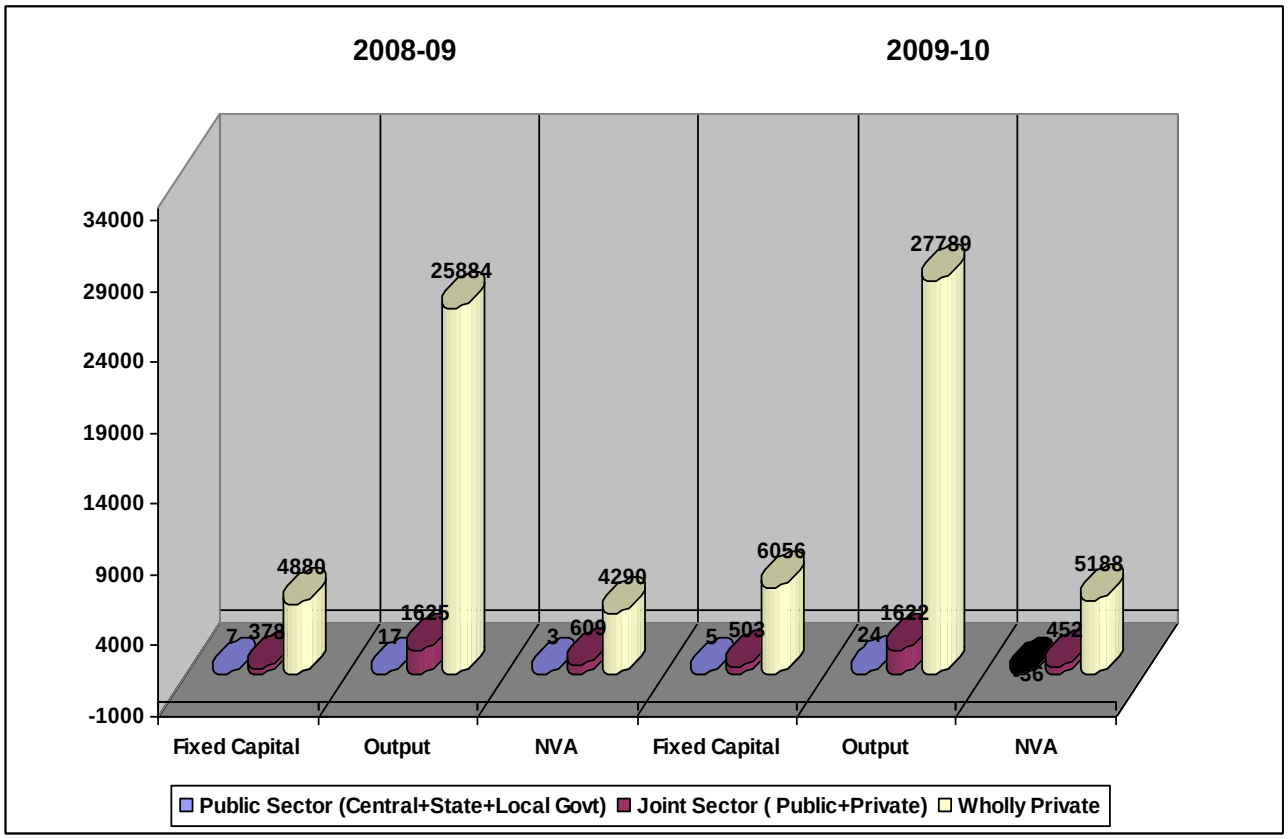
Among all the sectors, the average emoluments paid to a person engaged in production activity in relation to NVA generated was higher in Public sector in 2008-09 and in wholly Private sector during 2009-10.

PRINCIPAL CHARACTERISTICS BY TYPE OF OWNERSHIP

(i) No. of Factories



(ii) Comparison of important characteristics by Type of Ownership



CHAPTER – SEVEN

DISTRIBUTION OF FACTORIES BY TYPE OF ORGANISATION

7.1 **Principal Characteristics:** Table 7.1 gives the distribution of factories and other related aggregates in absolute and percentage terms respectively by type of organization. The organizations are classified as (i) Individual proprietorship, (ii) Joint family (iii) Partnership, (iv) Public limited company,(v) Private limited company,(vi) Khadi and village industry (vii) Co-operative Society and (viii) others. The public limited company and private limited company constitute the corporate sector.

Table 7.1

PRINCIPAL CHARACTERISTICS BY TYPE OF ORGANISATION

(Value in Rs. Crore)

Type of Organisation		Factories (Number)		Fixed Capital		Workers (number)		Gross Output		Net Value Added	
		2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10
1	2	3	4	5	6	7	8	9	10	11	12
1	Individual proprietorship	50	79	42	65	922	1334	97	240	16	72
	(%)	(9.63)	(15.19)	(0.80)	(0.99)	(2.27)	(3.43)	(0.35)	(0.82)	(0.33)	(1.28)
2	Joint Family	0	0	0	0	0	0	0	0	0	0
	(%)										
3	Partnership	68	0	59	0	2345	0	410	0	209	0
	(%)	(13.10)		(1.12)		(5.78)		(1.49)		(4.26)	
4	Public Limited Company	134	78	3430	54	22220	2604	18386	275	3095	61
	(%)	(25.82	(15)	(65.15	(0.82)	(54.80)	(6.70)	(66.80)	(0.93)	(63.14)	(1.08)
5	Private Limited Company	255	92	1709	3843	14434	16691	8484	14982	1578	2702
	(%)	(49.13)	(17.69)	(32.46)	(58.55)	(35.60)	(42.92)	(30.82)	(50.90)	(32.19)	(47.91)
6	**Corporate Sector (4+5)**	**389**	**170**	**5139**	**3897**	**36654**	**19295**	**26870**	**15257**	**4673**	**2763**
	(%)	**(74.95)**	**(32.69)**	**(97.61)**	**(59.37)**	**(90.40)**	**(49.61)**	**(97.62)**	**(51.83)**	**(95.33)**	**(48.99)**
7	Khadi & Village Industry	0	0	0	0	0	0	0	0	0	0
	(%)										
8	Co-operative Society	3	264	9	2588	389	17726	107	13811	5	2800
	(%)	(0.58)	(50.77)	(0.17)	(39.43)	(0.96)	(45.58)	(0.39)	(46.92)	(0.10)	(49.65)
9	Others(including Trusts, Wakf Boards, etc.)	10	7	16	14	235	536	41	127	-1	5
		(1.93)	(1.35)	(0.30)	(0.21)	(0.58)	(1.38)	(0.15)	(0.43)	(-0.02)	(0.09)
Total		**519**	**520**	**5265**	**6564**	**40545**	**38891**	**27526**	**29435**	**4902**	**5640**
	(%)	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**	**(100.00)**

Figures in brackets indicate percentages

The corporate sector accounted for 389 and 170 factories or 74.95% and 32.69% of the total number of factories and held fixed capital amounting to Rs.5139 crore and Rs.3897 crore comprising 97.61% and 59.37% of the total fixed capital and employed 36654 and 19295 workers i.e. (90 % and 50 %) of the total during the years considered. The contribution of this sector to the value of output was of the order of 98% & 52% in both years respectively, while net value added was Rs.4673 crore and Rs.2763 crore (95% & 49%) of the total.

Under the corporate sector, the number of factories classified under Private limited company/ organizations were 49.13% and 17.69% of the total during the year 2008-09 & 2009-10 respectively. They utilized 32% and 59% of the fixed capital, their contribution to the value of output and NVA was 31% and 51% and 32% & 48% respectively and employed 36% & 43% of the total workers to carry out the production activity during the year 2008-09 & 2009-10.

Table No. 7.2

PERCENTAGE GROWTH IN PRINCIPAL CHARACTERISTICS BY TYPE OF ORGANISATION DURING 2009-10 OVER 2008-09

Type of Organisation	Factories	Fixed Capital	Workers	Output	Net Value Added
1	2	3	**4**	**5**	**6**
1. Individual Proprietorship	58.2	54.8	44.7	147.7	350.0
2. Joint Family	0	0	0	0	0
3. Partnership	-100.0	-100.0	-100.0	-100.0	-100.0
4. Public limited company	-41.8	-98.4	-88.3	-98.5	-98.0
5. Private limited company	-63.9	124.9	15.6	76.6	71.2
6. Corporate Sector	-56.3	-24.2	-47.4	-43.2	-40.9
7. Khadi & Village Industry	0	0	0	0	0
8. Cooperative society	**8700.0**	**28655.6**	**4456.8**	**12807.5**	**55900.0**
9. Others(including Trusts, Wakf Boards, etc.)	-30.0	-12.5	128.1	209.8	-600.0
Total	**0.2**	**24.7**	**-4.1**	**6.9**	**15.1**

Growth: It may be observed that the corporate sector which dominates the composition of factories has registered a decline of 56.3% in number of factories, 24.2% in fixed capital, 43.2% in the gross output , 40.90% in the net value added and 47.4% in the number has declined of workers during the year 2009-10 over 2008-09. Within the corporate sector, public limited company by 41.8% in number of factories, 98.4% in fixed capital, 98.5% in the gross output and 98.0% in the net value added.

TABLE NO. 7.3

STRUCTURAL RATIOS AND TECHNICAL COEFFICIENTS BY TYPE OF ORGANISATION

Type of Organisation	Fixed capital per person engaged (Rs. in lakh)		Net value added per person engaged (Rs. in lakh)		Wages per worker (Rs. in lakh)		Technical Coefficient							
							FC to NVA		FC to GOP		NVA to GOP		Total Emolu-ments to NVA	
	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10	2008-09	2009-10
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
1. Individual Proprietorship	3.83	4.23	1.45	4.68	0.42	0.52	2.65	0.90	0.43	0.27	0.16	0.30	0.39	0.14
2. Joint Family	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
3. Partnership	2.04	0.00	7.24	0.00	0.43	0.00	0.28	0.00	0.14	0.00	0.51	0.00	0.09	0.00
4. Public limited company	12.06	1.76	10.88	2.01	1.12	0.43	1.11	0.88	0.19	0.20	0.17	0.22	0.15	0.30
5. Private limited company	8.60	17.55	7.94	12.34	0.66	1.74	1.08	1.42	0.20	0.26	0.19	0.18	0.18	0.24
6. Corporate Sector	10.64	15.62	9.67	11.08	0.94	1.56	1.10	1.41	0.19	0.26	0.17	0.18	0.16	0.24
7. Khadi & Village Industry	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Cooperative society	1.77	10.56	1.02	11.43	1.24	1.00	1.72	0.92	0.09	0.19	0.05	0.20	1.30	0.14
9. Others (including Trusts, Wakf Boards,etc.)	5.78	2.08	-0.38	0.71	0.62	1.22	-15.40	2.92	0.38	0.12	-0.02	0.04	-4.14	2.01
Total	**9.91**	**12.70**	**9.23**	**10.91**	**0.90**	**1.27**	**1.07**	**1.16**	**0.19**	**0.22**	**0.18**	**0.19**	**0.16**	**0.19**

Structural ratios and technical co- efficient: A comparison of various ratios and technical coefficients of factories classified by type of organization during 2008-09 and 2009-10 are given in table No. 7.3.

During 2008-09 and 2009-10, in the corporate sector, the fixed capital worth of Rs.10.64 lakh and Rs.15.62 lakh were utilized by each person engaged. Within the corporate sector in the public limited company, the fixed capital worth of Rs.12.06 lakh and Rs.1.76 lakh were utilized by each person engaged and it was Rs.8.60 lakh and Rs.17.55 lakh in the private limited company during 2008-09 and 2009-10 respectively. Wages paid per worker of Rs.1.24 lakh during 2008-09 and Rs.1.74 lakh during 2009-10 was the highest in Cooperative society and in Private Limited Company respectively. Average emoluments paid in relation to generation of NVA of each rupee have increased from 0.16 in 2008-09 to 0.19 in 2009-10.